

DEPARTMENT OF VETERANS AFFAIRS

SOLE SOURCE JUSTIFICATION UNDER SIMPLIFIED PROCEDURES FOR CERTAIN COMMERCIAL ITEMS IN ACCORDANCE WITH FAR 13.5

Acquisition Plan Action ID: 36C262-25-AP-3122

1. Contracting Activity:

Department of Veterans Affairs, Veterans Integrated Service Network (VISN) 22, Phoenix VA Health Care System (PVAHCS), Regional Procurement Office (RPO) West, Network Contracting Office 22 (NCO 22).

2. Nature and/or Description of the Action Being Processed:

This is a justification and approval for Other Than Full and Open Competition to establish follow-on Community Nursing Home (CNH) contracts to service Veteran patients of the PVAHCS.

The awarded contract will be a Firm Fixed Price (FFP), Indefinite Delivery/Indefinite Quantity (ID/IQ) with no options.

FAR 13.5 Simplified Procedures for Certain Commercial Items: This procurement will be accomplished IAW FAR 13.5 Simplified Procedures for Certain Commercial Items and specifically FAR 13.501 Special Documentation Requirements, where acquisitions conducted under Simplified Acquisition Procedures are exempt from the requirements of FAR Part 6, but still require a justification using the format of FAR 6.303-2.

3. Description of Supplies/Services Required to Meet the Agency's Needs:

38 U.S.C. § 1720 creates the expectation that qualified Veterans will receive CNH services in their community. The facility listed in Attachment A provides care to Veterans whose primary residence is a nursing home. The VA CNH Program is designed to assist Veterans and their families in making the transition from an episode of hospital care, nursing home care, or domiciliary care to the community. The primary goal of the CNH program is to maintain or restore the Veteran to the highest level of health and well-being attainable. VA often has a particular need for specialty care services in the CNH program. Laboratory, x-ray, and other special services will be available to VA patients as needed. In addition, the care provided will include room, meals, nursing care, and other services or supplies commensurate with the VA-authorized level of care, without extra charge.

The total estimated value of the proposed actions are listed in Attachment A. The anticipated Period of Performance will be 04/01/2025 – 06/30/2025.

Total Estimated Cost per CNH Facility: See Attachment A

Guaranteed Minimum: One (1) room, for one (1) Veteran, for one (1) day. ID/IQ Limit: See Attachment A

4. Statutory Authority Permitting Restricted Competition:

FAR 13.5 Simplified Procedures for Certain Commercial Items. The statutory authority for applying the Simplified Procedures for Commercial Items of FAR 13.5 is 41 U.S.C. § 1901 and is implemented by FAR 13.106-1(b)(2) for restricting competition on this procurement. **Competition is restricted on this procurement for the reason below:**

(X) Only One Responsible Source and No Other Supplies or Services Will Satisfy Agency Requirements

5. Demonstration that the Contractor's Unique Qualifications or Nature of the Acquisition Requires the Use of the Authority Cited Above (applicability of authority):

The listed CNH incumbents are currently providing a much-needed service to Veteran(s) within the immediate geographical location of the VA facility. The nursing homes meet VA exclusion review quality of care standards. The listed CNH incumbents are much needed facilities that will lessen the burden and concerns of the Veteran(s), the Veteran's family, and the VA clinician(s)/provider(s), by continuing a much-needed unique service in a particular geographic locale. Although there are several CNHs that provide services under NAICS Code 623110, if the requirement was competed within this locale, the Government does not expect to receive competition that will provide for services that will not disrupt the Veteran(s) and their families. Competing for the sake of competition will result in a substantial duplication of cost to the Government and likely delays in services to the Veteran(s).

The quality of care for the Veteran is accomplished through placement in a nursing home that is in close proximity to where the Veteran and their family resides and is Centers for Medicare and Medicaid Services (CMS) certified and has a state nursing home license. Notably, in the VA's community nursing home program, the Veteran's placement decision is made by the VA clinician(s)/provider(s), the Veteran, and the Veteran's family. The placement decision will be based on established VA contracts within the catchment area the Veteran resides. The geographic factor in these circumstances makes this requirement unique and highly specialized; therefore, not subject to competition.

The Community Nursing Home Oversight Procedures and CNH Program has maintained two cornerstones: 1) some level of patient choice in choosing a nursing home close to the Veteran's home and family, and 2) a unique approach to local oversight of CNHs.

The Veteran(s) qualify to be a beneficiary of CNH services through the VA CNH program. If the Veteran(s) were required to relocate to a different CNH facility the move would likely disrupt treatment plans and may become a burden to family members. Reducing variability in access and quality ensures Veterans receive timely high-quality care. Therefore, to avoid disruption to Our Veteran(s) the VA must award a new sole source contract to the listed CNH incumbents.

The issuance of a sole source contract meets the Department of Veterans Affairs Fiscal Years 2022 - 2028 strategic plan goals by ensuring the VA delivers timely, accessible, high-quality benefits, care, and services to meet the unique needs of all eligible beneficiaries, and emphasizes the delivery of benefits, care, and services to underserved, marginalized and at risk Veterans. Additionally, minimizing the relocation of Veteran(s) from one CNH to another minimizes financial risk to the Veteran and their families, who have established monthly costs that they depend on for the well-being of the Veteran. If these predictable costs were disrupted this could result in financial and emotional hardship for our Veteran(s) and their families.

6. Description of Efforts Made to ensure that offers are solicited from as many potential sources as deemed practicable:

Potential sources are dependent on the needs of the patients. The Social Worker and the CNH Review Team identify which CNHs can fulfill the patients' needs. Relocating Veterans to another facility already under contract would have a negative impact on patient care and

necessitates sole sourcing this procurement. IAW FAR 13.501(a)(1)(iii), this action will be synopsized at award on SAM.gov and the justification will be made publicly available.

7. Determination by the CO that the Anticipated Cost to the Government will be Fair and Reasonable:

The Medicare rates that will be paid under the IDIQ are determined by Veterans Affairs Central Office (VACO). A discount percentage off the VACO Medicare Benchmark Rates will be negotiated. The negotiated percentage to the VACO Benchmark Rates will remain constant throughout the life of the contracts. The rates are adjusted only when VACO updates the Medicare Benchmark Rates at the end of each government fiscal year and will be effective the start of the next government fiscal year. The rates are adjusted annually and will be modified in accordance with the Economic Price Adjustment clause. The prices offered are determined fair and reasonable by the CO prior to award based upon the published rates and negotiated percentages.

8. Description of the Market Research Conducted and the Results, or a Statement of the Reasons Market Research Was Not Conducted:

A review of the acquisition history showed the previous procurements of CNHs were awarded as a sole source Basic Ordering Agreement (BOA) with FFP EPA. A search in the Small Business Administration website ([SBA Dynamic Small Business Search \(dsbs.sba.gov\)](https://dsbs.sba.gov)) using NAICS Code 623110 yielded 36 results. After a review of the results, it was determined the listed Service-Disabled Veteran Owned Small Businesses (SDVOSB) and Veteran Owned Small Businesses (VOSB) were not skilled nursing facilities or located in VISN 22 so it would not be feasible to include the SDVOSB/VOSBs in a competitive action.

Based on the CORs and VA CNH Program's annual review of the listed CNH facilities, the facilities have an acceptable rating from CMS. CMS is responsible for monitoring nursing home quality of care across the United States.

In or around June 2022 VACO issued a draft letter to be sent to all CNHs with a current BOA. The letter offered the CNH a choice between an IDIQ or Veterans Care Agreement (VCA). The facility listed in Attachment A responded to the letter with a signed Acknowledgment form marked with their selection for an IDIQ Contract.

9. Any Other Facts Supporting the Use of Other than Full and Open Competition:

The facility listed in Attachment A have been providing consistent care to Veterans in this geographical area for several years. It employs many local people who have known many of their residents and families for many years. The listed facilities have been surveyed annually by a VA CNH Survey Team and whatever deficiencies that were noted have been corrected in a timely manner each year. The CNH Coordinators have retained the survey reports for these facilities the past several years.

10. Listing of Sources that Expressed, in Writing, an Interest in the Acquisition:

The listed CNH incumbents are currently providing CNH services to Veteran(s) in their facility and are willing to provide continuous services. No other sources have expressed interest at this time. Efforts are being made to identify additional potential sources through continued market research.

11. A Statement of the Actions, if any, the Agency May Take to Remove or Overcome any Barriers to Competition before Making subsequent acquisitions for the supplies or services required:

Should other sources for these types of services be needed in this geographical area, the VA will perform a search to try to locate such a contractor that can best fulfill the needs of our Veterans and their families.

12. Requirements Certification:

I certify that the requirement outlined in this justification is a Bona Fide Need of the Department of Veterans Affairs and that the supporting data under my cognizance, which are included in the justification, are accurate and complete to the best of my knowledge and belief.

Lindsey Bush
Geriatric Extended Cares (GECS) Supervisor
Phoenix VA Health Care System

13. Approvals in accordance with the [VHAPM Part 806.3 OFOC SOP](#):

- a. **Contracting Officer or Designee's Certification (required)**: I certify that the foregoing justification is accurate and complete to the best of my knowledge and belief.

William T. Cook
Contracting Officer
NCO 22

- b. **One Level Above the Contracting Officer (Required over SAT but not exceeding \$750K)**: I certify the justification meets requirements for other than full and open competition.

Flora Ceponis
Branch Chief, Specialized 1
NCO 22

Attachment A

Phoenix VA Health Care System (644) CNH to IDIQ List:

AP Number	CNH Name	IDIQ Length	Estimated \$	IDIQ Limit
36C262-25-AP-3122	Ridgecrest Community Healthcare, LLC	3 months	\$750,000.00	\$750,000.00
Total	1 CNH Facilities		\$750,000.00	